

Apple Inc. - FY2023 Financial Report

Form 10-K | Page 1

ITEM 7. MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION

Total net sales were \$383,285 million in 2023, compared to \$394,328 million in 2022, a decrease of 2.8%.

Products net sales were \$298,085 million compared to \$316,199 million in 2022.

Services net sales reached an all-time record of \$85,200 million, up 9.0% year-over-year.

Gross margin was \$169,148 million with a gross margin percentage of 44.1%.

Apple Inc. - FY2023 Financial Report

Form 10-K | Page 2

CONSOLIDATED STATEMENTS OF OPERATIONS

Operating income was \$114,301 million in 2023, representing an operating margin of 29.8%.

Net income was \$96,995 million, down from \$99,803 million in the prior fiscal year.

Total term debt stood at \$106,377 million as of September 30, 2023.

Cash and cash equivalents plus marketable securities totaled \$61,555 million.